

August 18, 2026 11:54 AM GMT

Fuyao Glass Industry Group | Asia Pacific

2Q26 Core Earnings in Line,
GPM in the Spotlight

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis

— In-line

Financial results versus consensus

— Largely unchanged

Direction of next 12-month
consensus EPS

Source: Company data, Morgan Stanley Research

Core earnings in line: Fuyao's 2Q26 earnings fell 19% YoY, to Rmb2.3bn, dragged down by weaker auto production volume and continued FX headwind (Rmb364mn FX loss in 2Q26, vs. Rmb366mn FX gain in 2Q25). Excluding non-operating impact, 2Q26 operating profit rose 5% YoY, to Rmb2.8bn, largely in line with market expectations.

Better GPM despite cost headwinds: 2Q26 GPM rose 1.7ppt YoY and 2.8ppt QoQ, to 40.2%, the quarterly high since 2021. This was achieved despite rising YoY natural gas prices, shipping costs, and Ohio (US) electricity cost. Likely reasons: better product mix (with higher GPM) and possibly US tariff recoveries (as we saw in [Nexteer 1H26 results](#)).

Earnings call at 10 AM HKT on 19 August: Key focus areas include: 1) margin trend in 2H; 2) 3Q color on volume, ASP, and rebate; 3) impact of fire at US plant in 2Q and insurance recovery amount in 3Q.

Exhibit 1: Fuyao – 2Q/1H26 results summary

Fuyao (Rmb mn)	1Q25	2Q25	1Q26	2Q26	2Q YoY	2Q QoQ	1H25	1H26	YoY
Revenue	9,910	11,537	10,413	11,558	0%	11%	21,447	21,971	2%
Gross profit	3,508	4,440	3,892	4,642	5%	19%	7,949	8,535	7%
Operating profit	2,025	2,719	2,179	2,845	5%	31%	4,744	5,024	6%
Net profit	2,030	2,775	1,712	2,259	-19%	32%	4,805	3,970	-17%
Recurring net profit	1,987	2,720	1,643	2,236	-18%	36%	4,707	3,879	-18%
EPS (Rmb)	0.78	1.06	0.66	0.86	-19%	30%	1.84	1.52	-17%
Gross margin	35.4%	38.5%	37.4%	40.2%	1.7%	2.8%	37.1%	38.8%	1.8%
Operating margin	20.4%	23.6%	20.9%	24.6%	1.0%	3.7%	22.1%	22.9%	0.7%
Net margin	20.5%	24.1%	16.4%	19.5%	-4.5%	3.1%	22.4%	18.1%	-4.3%

Source: Company data, Morgan Stanley Research

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Fuyao Glass Industry Group (3606.HK, 3606 HK)

China Autos & Shared Mobility | China

Stock Rating

Industry View

Price target

Up/downside to price target (%)

Shr price, close (Aug 18, 2026)

52-Week Range

Sh out, dil, curr (mn)

Mkt cap, curr (mn)

EV, curr (mn)

Avg daily trading value (mn)

Equal-weight

In-Line

HK\$53.50

(6)

HK\$56.75

HK\$86.00-47.70

607

Rmb142,063.1

Rmb135,784.4

HK\$167

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	3.57	3.78	4.53	5.23
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	3.66	3.90	4.58	5.26
Revenue, net (Rmb mn)	45,787.4	51,621.9	59,194.8	66,985.4
EBITDA (Rmb mn)	13,164.4	14,547.1	17,136.9	19,394.8
ModelWare net inc (Rmb mn)	9,312.3	9,871.2	11,821.6	13,653.7
P/E	16.9	12.9	10.8	9.3
P/BV	4.2	3.1	2.7	2.4
RNOA (%)	25.3	26.9	29.4	31.4
ROE (%)	26.1	26.3	28.4	29.4
EV/EBITDA	12.2	9.3	7.8	6.7
Div yld (%)	3.5	4.6	5.5	6.3
FCF yld ratio (%)**	5.1	5.2	7.1	8.6
Leverage (EOP) (%)	(21.2)	(21.1)	(23.4)	(26.5)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

§ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Fuyao Glass Industry Group (3606.HK)

Base case, with HK\$1.12/RMB FX rate assumed for A-share base case price target plus five-year average valuation discount of 15% given different investor profiles. Our A-share PT is derived from DCF valuation; key assumptions include a 13% WACC (15.3% cost of equity and 6.3% cost of debt), an 8% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Higher-than-expected China auto sales growth
- Acceleration in US/EU market share gains
- End to geopolitical tensions

Risks to Downside

- Larger-than-expected slowdown in China auto sales
- Delay in its US plant ramp-up
- Increase in energy/materials costs

Fuyao Glass Industry Group (600660.SS)

Base case, derived from DCF valuation. Our key assumptions include a 13% WACC (15.3% cost of equity and 6.3% cost of debt), an 8% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Higher-than-expected China auto sales growth
- Acceleration in US/EU market share gains
- End to geopolitical tensions

Risks to Downside

- Larger-than-expected slowdown in China auto sales
- Delay in its US plant ramp-up
- Increase in energy/materials costs

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Fuyao Glass Industry Group (3606.HK) - As of 08/18/26 GMT in HKD
Industry : China Autos & Shared Mobility



Stock Rating History: 8/1/21 : E/C; 9/1/21 : E/A; 8/25/22 : E/I

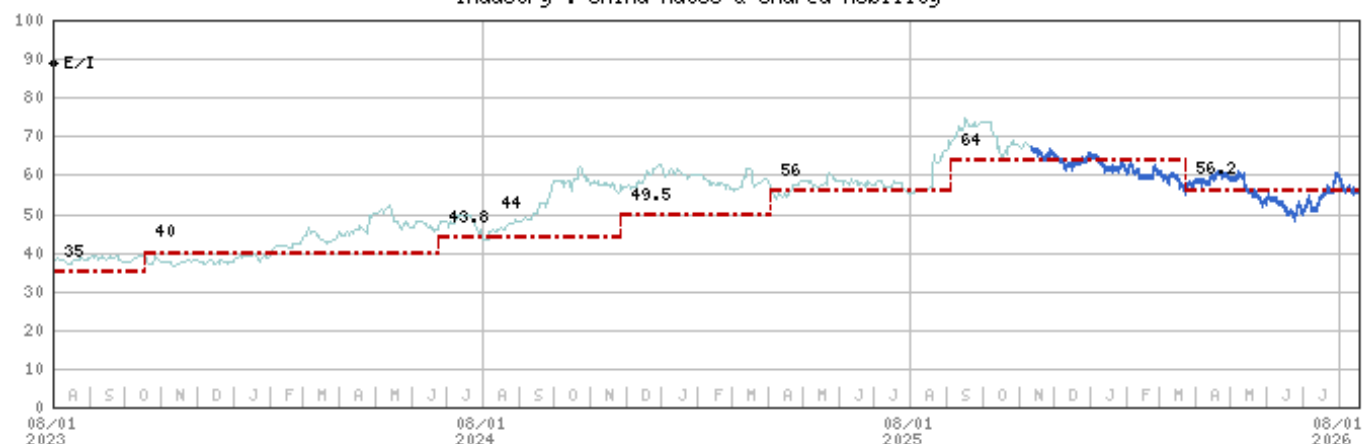
Price Target History: 1/15/21 : 46; 3/21/22 : 31; 8/25/22 : 32; 10/18/23 : 36; 6/25/24 : 39; 8/8/24 : 40; 11/27/24 : 45; 4/3/25 : 51.5; 9/4/25 : 59; 3/23/26 : 53.5

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Fuyao Glass Industry Group (600660.SS) - As of 08/18/26 GMT in CNY
Industry : China Autos & Shared Mobility



Stock Rating History: 8/1/21 : E/C; 9/1/21 : E/A; 8/25/22 : E/I

Price Target History: 1/15/21 : 52; 3/21/22 : 34; 8/25/22 : 35; 10/18/23 : 40; 6/25/24 : 43.8; 8/8/24 : 44; 11/27/24 : 49.5; 4/3/25 : 56; 9/4/25 : 64; 3/23/26 : 56.2

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/18/2026)
Joey Xu, CFA		

Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb22.14
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.81
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$2.24
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.13
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.10
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.19
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.32
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb11.11
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb20.38
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.01
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$2.83
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb29.59
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb66.08
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb26.08
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb92.81
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.38
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$0.85
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb25.66
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb56.16
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$56.75
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb89.09
Keboda (603786.SS)	O (01/17/2024)	Rmb42.52
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$28.42
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.40
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$5.37
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb21.10
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb51.10
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.98
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb63.70
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$11.72
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb39.60
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.40
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb5.16
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb89.53
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$90.00
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.71
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.26
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.33
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.34
Hesai Group (HSAI.O)	O (07/28/2025)	US\$18.07
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.72
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.41
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$47.88
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$35.66
NIO Inc. (NIO.N)	O (08/26/2020)	US\$4.60
WeRide Inc (WRD.O)	O (11/19/2024)	US\$6.08
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$47.26
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$12.20

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* Historical prices are not split adjusted.